

Envisioning energy security and abundance for all

Geoprospersity Paper Series

VARIOUS AUTHORS

Meeting climate science-driven goals in ways that
ensure fiscal stability and macroeconomic
prosperity.

SLIDIs Brief

At a Glance

Unlocking Private
Investment

Funding ESG
Objectives

Fuelling Sustainable
Growth



Proposal Overview

The **Sustainability-Linked Intermediated Debt Instrument** (SLIDI) proposal seeks to address the limitations of existing sustainability-linked bonds (SLBs), which have seen a decline in issuance since their peak in 2021. Like SLBs, SLIDIs offer reduced interest rates or rebates to borrowers that achieve specific sustainability-linked Key Performance Indicators (KPIs). However, SLIDIs differ by raising funds through bonds with fixed coupon payments, eliminating the rate-of-return uncertainty faced by SLBs.

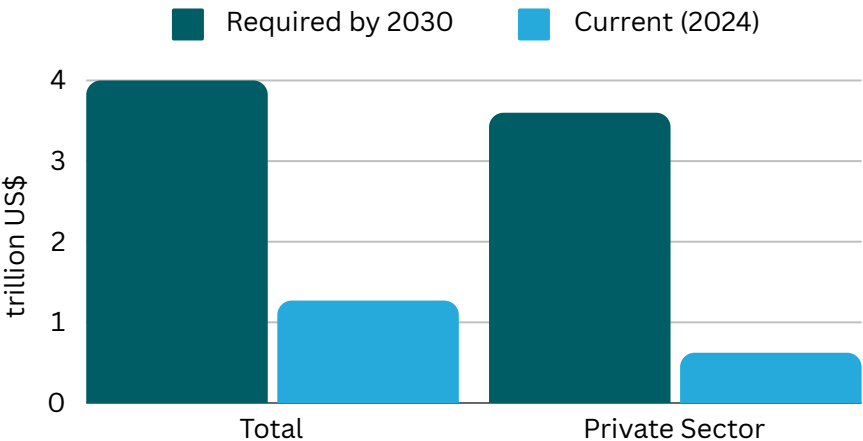
In this model, interest payment rebates are provided to borrowers upon meeting **KPI targets**, but these rebates are funded by a **third party**, such as the World Bank through results-based payments or a donor-supported trust fund. The participation of official development partners enhances the credit profile of the bonds, creating a 'halo effect' that reduces the interest rates demanded by private investors. Additionally, **guarantee products** and co-lending from development partners help lower country risk, further reducing borrowing costs for developing nations.

Key Issues to be Addressed

REDUCING BORROWING COSTS FOR EMDEs: The private sector will need to supply about 80% of the required climate-related investment in emerging market and developing economies (WB, 2023). Due to currency risk and other country risks, such as geopolitical conflicts, institutional investors are often unwilling to invest in developing countries, or demand punitively high interest rates to do so.

INCENTIVISING PROGRESS IN ESG AREAS: Developing countries face a dual burden: the need to service existing debt while also financing the costly transition to a low-carbon economy. Incentives are needed to encourage domestic policies that support a wide range of ESG objectives, such as decarbonizing the power sector, improving social equity, and enhancing governance standards, while progressing toward a developed economy.

Estimated Yearly Climate Investment Needs (Total and Private Sector)

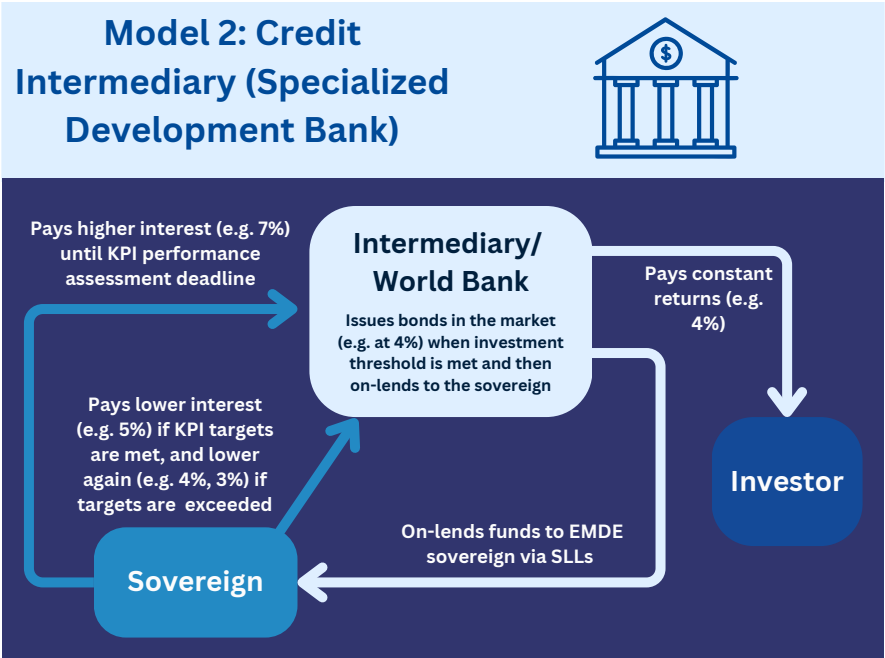
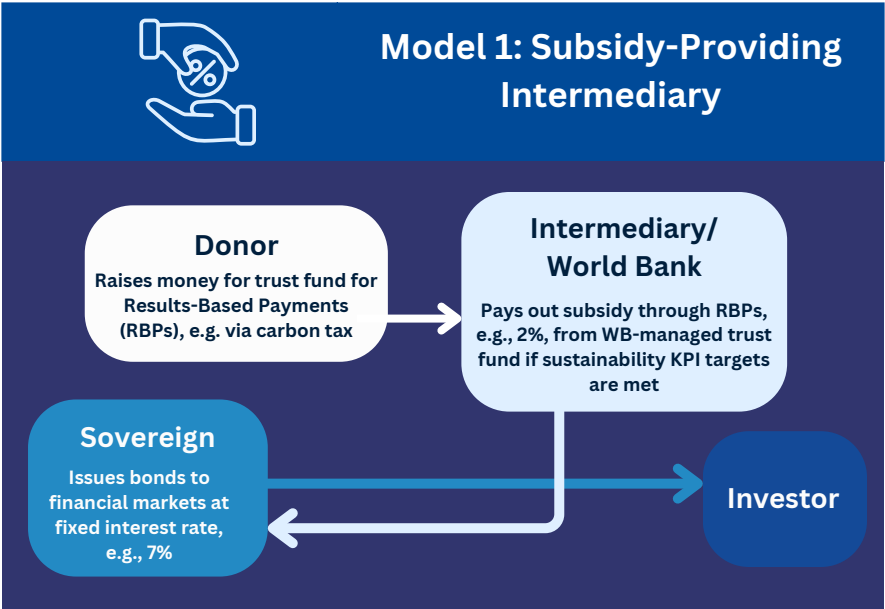


Sources: [IMF \(2023\)](#); [IEA \(2023\)](#)

Stakeholders

Participant/ Recipient Countries	The primary participants, responsible for implementing sustainability initiatives aligned with pre-defined KPIs. Upon meeting these targets, they receive interest rebates, which help lower their cost of borrowing and incentivize further progress toward sustainability goals.
World Bank Group/ Third Party Intermediary	These entities provide the funding for the interest payment rebates when borrowers meet their sustainability-linked KPIs. Their participation is vital in mitigating return volatility, a key challenge in traditional SLBs, by guaranteeing the rebate mechanism.
Investors	Provide the capital for SLIDIs through bond purchases. Their participation is encouraged by the ‘halo effect’—the enhanced credit profile resulting from the involvement of development partners. This reduces their risk perception and, consequently, the interest rates they demand.
Official Development Partners	By offering co-lending, guarantee products, or results-based payments, these partners help lower the perceived risk of the bonds and improve the creditworthiness of the borrowing nations. Their backing catalyzes greater private sector participation and ensures concessional borrowing costs.

Implementation



Additional Resources

Brief (This Document)

- Succinct overview of proposal.

Technical Summary

- Describes the basis for the proposal.
- Outlines the financial summary.

Powerpoint

- Provides a short engaging overview of the issue and proposal for presentations.

Links to Supplementary Material

[World Bank Report \(2023\)](#)

[IEA Report \(2021\)](#)

[Uruguay's SLBs \(2022\)](#)

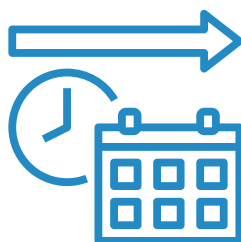
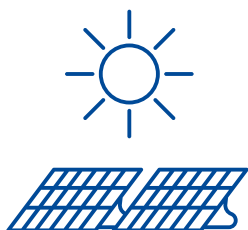
SPIFA Brief

At a Glance

Scaling Up
Renewable Energy
Infrastructure

Guaranteeing
Payment for
Investors

Ensuring
Long-Term
Commitment



Proposal Overview

This proposal for a **Solar Payments Intermediary and Finance Agency** (SPIFA) outlines the creation of a SECI (Solar Energy Corporation of India)-type institution tailored for developing countries, particularly Small Island Developing States (SIDS), to drive investment in renewable energy infrastructure. The core idea is that to enforce climate policy and attract long-term investment, a stable pricing structure and lasting commitments are essential.

An **intermediary institution** would manage price agreements for investors, enabling countries with limited financial capacity to secure funding. In cases where financial markets are underdeveloped, like in SIDS, SPIFA would organize project finance structures that offer low-cost financing for renewable energy infrastructure. Once projects are built, they could generate high returns, allowing countries to refinance at lower costs, pay off initial debts, and support sustained infrastructure development.

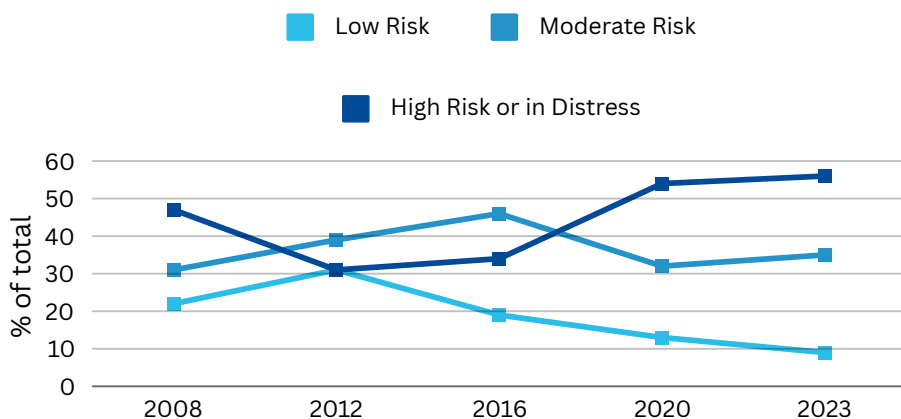
Key Issues to be Addressed

LOW CREDIT-WORTHINESS: Many low-capacity countries face challenges in accessing international financing due to their low credit-worthiness, which is often linked to political instability, economic vulnerabilities, and weak financial systems.

DEBT BURDEN: Many low-capacity countries are already facing high levels of debt, which limits their ability to borrow further without exacerbating their fiscal crisis. Adding debt for renewable energy development could increase their financial vulnerability. Therefore, solutions need to ensure that new renewable energy projects do not increase the debt burden, instead offering mechanisms like the pay-as-you-go model that distribute costs over time, rather than requiring significant upfront borrowing.

SCALING RENEWABLE ENERGY PROJECTS: Scaling renewable energy in these countries is critical to reducing dependency on imported fossil fuels and achieving climate goals, but it requires significant capital investment, technology transfer, and infrastructure development. The challenge is to create financing models that allow low-capacity countries to deploy renewable energy systems at scale, while managing financial risks and ensuring the projects are viable in the long term.

Risk of External Debt Distress Amongst EDMEs*



*Countries eligible for IDA resources

Source: [World Bank](#) (2023)

Core Components



Renewable Energy (RE) Contract Intermediary Agency

This would be managed by the Multilateral Investment Guarantee Agency (MIGA) and act as an intermediary for renewable energy contracts. It would increase investment certainty by guaranteeing revenue for renewable energy projects, much like the Solar Energy Corporation of India (SECI) does for solar projects in India. This global facility would secure payments for renewable energy projects through mechanisms such as capacity tariff auctions and Contracts for Difference, providing a reliable financial structure for climate policy commitments.



Two-Stage Project Finance Model

Managed by either MIGA or the International Finance Corporation (IFC), this model would support low-capacity countries. It would begin with equity and loan financing, followed by the issuance of bonds secured by guaranteed future cash flows from renewable energy projects. Pension funds could also invest in these securitized cash flows, providing long-term, stable financing for green projects.



Energy Contracts for Debt-Distressed Countries

This function would provide financial services to countries in debt distress, such as SIDS, using a 'pay-as-you-go' energy service contract. This model ensures that these countries can develop net-zero energy systems without increasing their debt burden. By transitioning to cleaner and more stable energy sources, these countries could reduce their reliance on expensive imported fossil fuels, lowering both costs and fiscal risks. The preferred creditor arrangement of the World Bank Group (WBG) would protect investors from losses, ensuring that delays in payments are managed without affecting the financial stability of the projects.

Additional Resources

Brief (This Document)

- Succinct overview of proposal.

Technical Summary

- Describes the basis for the proposal.
- Outlines the financial summary.

Links to Supplementary Material

[SECI \(About\)](#)

[IEA Report \(2021\)](#)

CIT Brief

At a Glance

Collateral



Incentives



Investment



Proposal Overview

The **Climate Incentives Trust (CIT)** proposal aims to expand global public funding for climate mitigation before 2050 and increase funding for loss and damage protection afterward. The proposed mechanism provides **insurance** against climate risks in exchange for sovereign commitments, **invests** in early-stage renewable energy projects, and **incentivizes** countries to reduce emissions.

The trust, funded by donor countries and managed by the World Bank Group, establishes nationally allocated beneficiary accounts designed to mitigate long-term fiscal risks and attract additional private investment. By lowering borrowing costs and leveraging national accounts as collateral, the CIT supports global climate goals while protecting countries from future climate-related financial burdens. The CIT's beneficiary accounts are structured to allocate funds to specific populations or projects within each country, rewarding progress on climate policies. Should any policy actions be reversed, the funds could be partially reclaimed to reinforce accountability.

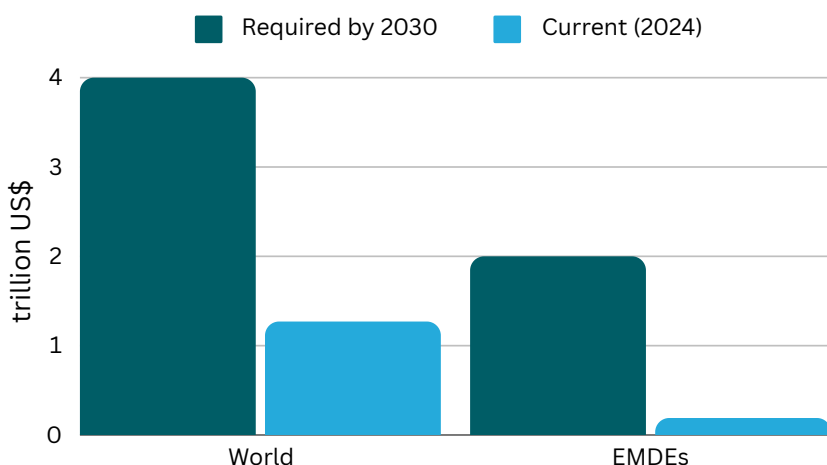
Key Issues to be Addressed

INCENTIVES FOR CLIMATE ACTION: Achieving global net-zero emissions necessitates coordinated national policy actions and increased investments in clean energy. Developing countries often grapple with the challenge of prioritizing development goals, which can sideline critical climate initiatives.

FINANCIAL SCALE: Ideally, any national government or municipality aiming for a swift transition to net zero (by 2050 or sooner) but struggling to attract significant private investment or access low-cost financing, should receive financial support from the World Bank or associated institutions. However, the availability of such funding remains limited.

RISK REDUCTION: To foster investment in green projects within developing countries, equity capital is essential to absorb risks that may deter investors, such as policy reversals or fluctuations in foreign exchange rates

Estimated Yearly Climate Investment Needs (World and EMDEs)



Sources: [Climate Policy Initiative \(2023\)](#); [IMF \(2023\)](#)

Stakeholders

Participant/ Recipient Countries	Emerging markets and developing economies facing difficulties in accessing affordable debt financing for their renewable energy transitions, as well as for research and innovation aimed at reducing GHG emissions. These countries receive risk protection to boost investment flows in the near term and can use national-scale accounts as collateral for borrowing related to climate change mitigation and adaptation. Post-2050, these countries will be the primary beneficiaries of the fund.
World Bank Group	The WBG manages the trust in accordance with its Trust Fund Policy (2021), ensuring both financial returns and meaningful climate impact.
Donors	Wealthy donor countries provide the initial funding for the trust. Donors also hold voting shares, giving them decision-making power within the trust.
Investors	Private investors are allowed to contribute to the trust but are required to pay a percentage of their investment returns as a fee. By de-risking investments in the early stages of projects in developing countries, the trust encourages greater private sector investment.

Implementation



Leverages debt financing to scale up investment in climate projects. This debt financing could come from various sources, including financial institutions, bonds, or other debt instruments.

Implements a profit-sharing mechanism to distribute returns generated from investments. These returns may be allocated to beneficiary accounts based on performance metrics.



Incorporates risk mitigation measures to protect investors and reduce the cost of capital. This may include insurance contracts, guarantees, or other financial instruments aimed at mitigating policy, financial, or project-related risks.

Collaborates with implementing agencies, initiatives, and financial institutions to leverage expertise and resources.



Designed for scalability and expansion. The establishment of regional ‘child’ funds and national-scale climate investment pension funds are key options for fund growth.

Additional Resources

Brief (This Document)

- Succinct overview of proposal.

[Long-form Paper](#)

- Describes the basis for the proposal.
- Outlines the financial summary.

[Technical Summary](#)

- Provides a detailed summary for the proposal.

Powerpoint

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Links to Supplementary Material

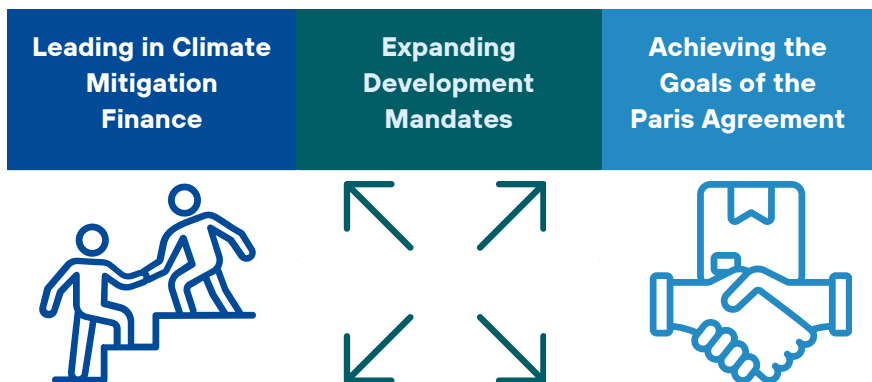
[WBG Trust Fund Policy \(2021\)](#)

[IEA Report \(2021\)](#)

[IMF Resilience and
Sustainability Trust](#)

MDB Reform Brief

At a Glance



Proposal Overview

Multilateral Development Banks (MDBs) have a pivotal role in driving the global green transition, yet the scope and scale of their involvement remain key questions. This paper examines the various roles MDBs, particularly the World Bank Group (WBG), could and should assume to scale climate action. We explore the dual role of MDBs as financial institutions and policy influencers, with a focus on the WBG's unique ability to provide both investment lending and policy-transforming support. In addition, we address the WBG's involvement in the development of critical carbon market instruments.

The paper's analysis spans several dimensions: the WBG's mission, financing products, the challenges and opportunities for scaling efforts, and the critical role MDBs play in creating dynamic policy incentives. We argue that the WBG, given its scale and leadership position, should expand its mandate to prioritize nature protection and significantly increase climate mitigation financing. By addressing these core issues, MDBs can more effectively catalyze the global green transition and drive meaningful progress toward climate goals.

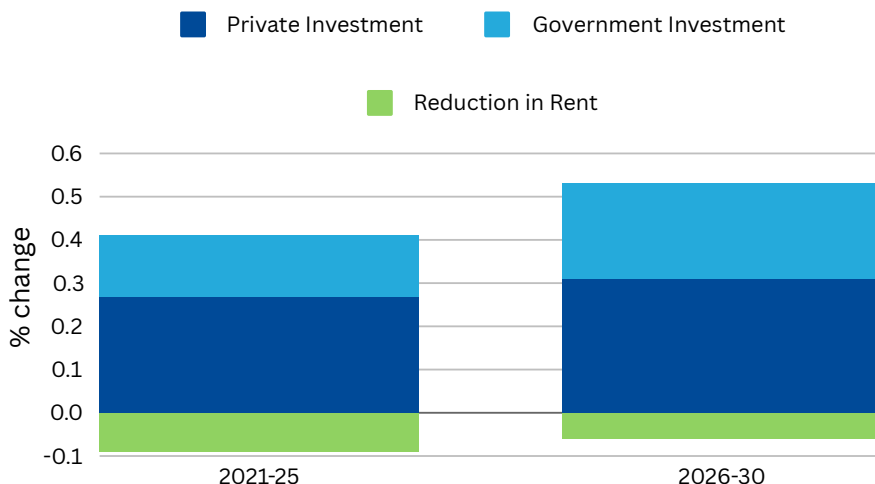
Key Issues to be Addressed

POLICY INCENTIVES: Achieving global net-zero emissions necessitates coordinated national policy actions and increased investments in clean energy. Developing countries often grapple with the challenge of prioritizing development goals, which can sideline critical climate initiatives.

SCALABILITY: Ideally, any national government or municipality aiming for a swift transition to net zero (by 2050 or sooner) but struggling to attract significant private investment or access low-cost financing, should receive financial support from the World Bank or another MDB. However, the availability of such funding remains limited.

MISSION AND MANDATE of MDBs: Each MDB has its own mandate. The World Bank has two ambitious goals: to end extreme poverty within a generation and boost shared prosperity on a livable planet. While this mission implies the preservation of the planet's climate, the World Bank and other MDBs should broaden their mandates to *explicitly* commit to achieving the Paris Agreement's temperature targets.

Percentage Change in Annual Growth Rate of Global GDP in the NZE relative to the STEPS*



*STEPS= Stated Policies Scenario

Source: [IEA \(2021\)](#)

Implementation



Identifying opportunities for MDBs to scale up their efforts in providing more extensive, low-cost financing for climate and development projects. For instance, the International Bank for Reconstruction and Development's (IBRD) "super seniority" status incentivizes countries to prioritize repayments, reducing the bank's risk and allowing it to offer lower interest rates.



Reforming the envelope system to create a more flexible and responsive financing framework. This could involve strategies such as risk transfer, syndicated lending, parallel capitalization, or establishing separate entities to achieve greater scale.



Setting up additional risk-absorbing equity and insurance funds. For example, a blended equity fund combined with an approved project list; debt financing can be scaled through the creation of synthetic sovereign bonds.



Incentivising 'strong' Paris compliant projects through a universal incentive for policy action. For example, a central institution like the World Bank could establish policy standards, such as a carbon price of \$100/tCO₂ rising to \$200/tCO₂, needed to achieve a 1.5°C temperature target. In exchange for adopting these policies, countries would receive financing for the necessary net-zero investments.



Act now or lose out! Incorporating the Dixit/Pindyck 'real option' dynamic incentive model can encourage immediate action. The goal is to create incentives that prompt countries to act now rather than delay. For example, ensuring financing is initially available on favorable terms, with the terms becoming progressively less favorable over time. This creates urgency and motivates early action by making delayed participation less profitable.

Additional Resources

Brief (This Document)

- Succinct overview of proposal.

Technical Summary

- Describes the basis for the proposal.
- Outlines the financial summary.

Links to Supplementary Material

[World Bank, 'Our Vision'](#)

[IEA Report \(2021\)](#)

[IEA Net Zero Roadmap \(2023 Update\)](#)

Feebates Brief

At a Glance

Decarbonizing
the Power Sector

Charging Fees to
High Emitters

Granting Rebates
to Low Emitters



Proposal Overview

This proposal presents a strategy for decarbonizing the power sector using a **feebate approach**. The proposed system, which imposes **fees on high-emission activities** and **rebates for low-emission alternatives**, is an alternative to carbon taxes in sectors where coal use is prevalent, particularly electricity generation. Feebates offer a dynamic, politically feasible mechanism that incentivizes early transition without imposing across-the-board price hikes that could discourage low-carbon energy use in the long term. By combining multiple feebates, the system can mimic the effects of a consumption-based carbon tax, but with fewer political disruptions.

Feebates are **revenue-neutral**, unlike carbon taxes, which raise revenue. However, the paper suggests combining feebates in coal-dependent sectors with **revenue-raising taxes** on other fuels, or transitioning the feebate system into a carbon tax over time, allowing for a gradual, more transformative shift toward decarbonization.

Key Issues to be Addressed

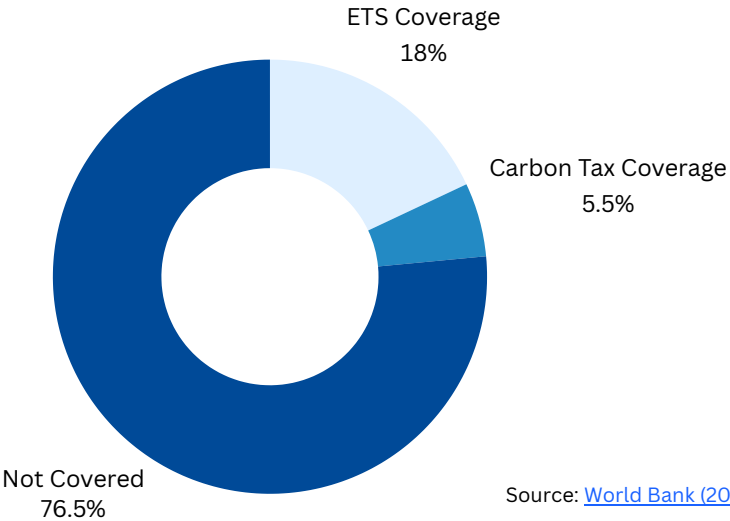
THE POWER SECTOR: Electricity generation is a key sector of the economy that produces significant emissions. Electrification is the principal means by which the other sectors, notably including cars, trucks, and heating/cooling of buildings, can reduce their emissions in deep decarbonization scenarios. The power sector, once it is reduced in emissions intensity, can act as an energy vector for the other sectors that currently use fossil fuels directly.

AN ALTERNATIVE TO CARBON TAX: Carbon taxes have been implemented in only a few countries, and most carbon prices remain well below the \$40-80/tCO₂ range required by 2020 to meet the 2°C temperature target, as recommended by the High-Level Commission on Carbon Pricing (Stiglitz & Stern, 2017). Frequently, major industries or fuels are exempted or subject to reduced rates due to concerns that rising fuel prices from a carbon tax could increase costs for industrial firms competing in international markets.

Imposing a carbon tax across all sectors, including coal, is justified not only due to coal's significant climate impact but also because of its contribution to local air pollution (Parry et al., 2015). A sufficiently high carbon tax could lead to substantial emissions reductions. However, the resulting increase in coal prices would impose considerable transitional costs and could trigger strong political resistance from coal producers, industrial users, and the general public.

Because a carbon tax is inherently tied to the carbon content per unit of fuel, the tax's politically and economically feasible level is often constrained, particularly in coal-dependent sectors.

GHG EMISSIONS COVERED BY CARBON PRICING



Source: [World Bank \(2023\)](#)

Stakeholders

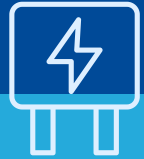
Government/ Policymakers	Policymakers are able to ease the transition to a low-carbon economy by creating a system that functions like a gradually increasing carbon tax. This avoids the need for repeated political battles that would arise with each proposed hike in a traditional carbon tax.
Financial Institutions	These institutions may provide financing or technical support for the policy, especially for clean energy projects or capacity-building efforts tied to the feebate system.
Power Sector Companies	Fossil fuel-based power producers face costs incentives to close down power plants while renewable energy firms gain dominance.
Consumers	Energy consumers experience changes in electricity prices, leading to increased demand for renewable energy options.

Implementation



‘Grandfathered’ Approach

In this variant, owners of high-carbon assets like coal power stations receive a higher subsidy per MWh produced for a limited time, compensating for capital losses from stranded assets. This recycling of revenues within specific fuel types (coal, gas, oil) ensures no net tax burden for the sector while incentivizing a shift from coal to renewables. After a few years, all producers would receive the same subsidy per MWh.



Incentivizing Dispatchable Electricity

Another option is to adjust subsidies based on the ability to dispatch electricity, providing stronger incentives for renewable energy projects with storage. This approach ties subsidies to short-run marginal costs, ensuring a reliable energy supply, and applies storage and demand response incentives to energy consumption as well.



Bringing Forward Subsidies

Governments could advance Output-Based Rebates (OBR) subsidies to encourage faster coal phase-outs. For example, "cash-on-delivery" subsidies could be provided for renewable energy projects with storage, replicating the OBR scheme and stimulating demand. These efforts could also attract support from international financial institutions.

Tax Burden Mitigation

Feebates could be designed to recycle tax revenues within the electricity sector. For example, taxes on coal used in power plants could be refunded to producers based on their output, incentivizing faster transitions to renewables. This approach would spread transitional costs between electricity consumers and slower coal generators, depending on the pace of the phase-out.



Additional Resources

Brief (This Document)

- Succinct overview of proposal.

Technical Summary

- Describes the basis for the proposal.
- Outlines the financial summary.

Links to Supplementary Material

[Chateau et al. Climate Policy Options \(2024\)](#)

[IEA Report \(2021\)](#)

[WB State and Trends of Carbon Pricing \(2023\)](#)

India Paper Brief

At a Glance

**Decarbonizing the
Power Sector**



**Ensuring an
Equitable Transition**



**Greening the
Financial System**



Proposal Overview

India's ambitious climate policy targets aim for a scale-up of renewable energy, a significant reduction in carbon intensity by 2030, and net zero emissions by 2070 ([NDC, 2022](#)). Achieving these goals requires reforms in power markets, carbon pricing, and the financial sector to support a rapid exit from coal and boost the renewable energy transition. This paper emphasizes the need for socio-economic justice in the transition, focusing on concessional financing for coal power site repurposing and worker retraining. This paper proposes a feebate system to incentivize power producers to decarbonize while keeping electricity prices stable. Additionally, we suggest greening India's financial system by enhancing climate risk management and redirecting capital toward low-carbon solutions. India's role as a global clean energy leader is crucial, and accelerating the green transition could deliver strategic economic benefits, including access to international markets and leadership in cleantech supply chains.



Key Issues to be Addressed

COAL AND THE POWER SECTOR: The power sector plays an outsized role both in current emissions and in achieving future national prosperity by means of a highly electrified economy powered by cheap and abundant renewable energy. India's electricity demand is expected to triple by 2045 ([Barbar et al., 2021](#)).

72% of total CO₂ emissions from fuel combustion in India come from coal ([IEA, 2022](#)). India's coal sector suffers from severe inefficiencies and underutilization, with just 1% of available capacity in active operation ([Global Energy Monitor, 2022](#)). With 99 new coal mine projects under development as of 2022 (*Ibid*), it is essential for India to transition to clean, renewable energy to meet its current and future energy needs.

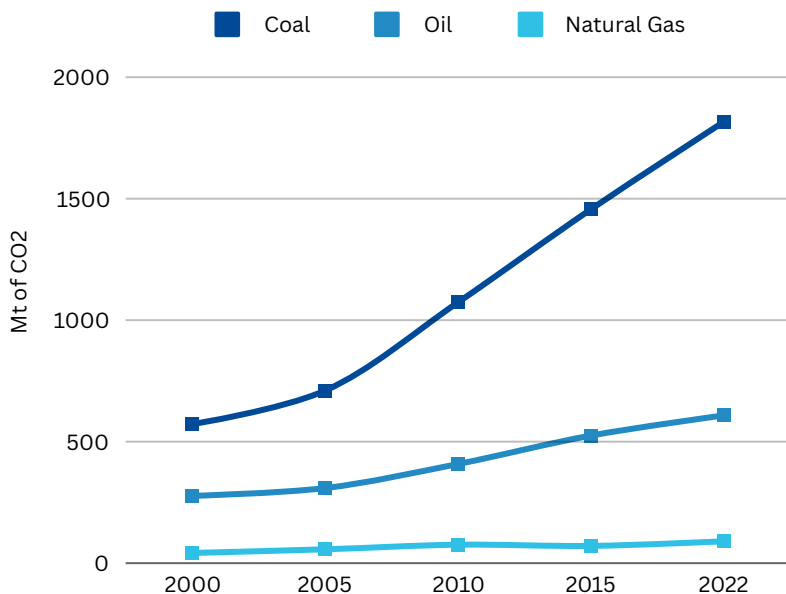
INEQUALITY AND POVERTY: India grapples with extreme inequality and high poverty rates. [Oxfam](#) (2022) reports that a minimum wage worker in rural India would need 941 years to earn the equivalent of what the highest-paid executive at a leading Indian garment company makes in just one year. In 2023, 9% of the employed population lived on less than \$2.15 per day in purchasing power parity ([ADB, 2024](#)).

The expansion of coal extraction has reinforced community reliance on predominantly informal, coal-based livelihoods ([Oskarsson et al., 2024](#)). To facilitate a 'just transition,' India must focus on providing coal-sector workers and minimum wage earners with opportunities to participate in the emerging clean energy economy.

FINANCING THE TRANSITION: India may need to invest approximately half a trillion dollars in its clean energy sector by 2030, translating to over \$65 billion annually. This amount exceeds the \$226 billion estimated under the Indian government's current plan, which envisions reaching an installed capacity of 450 GW of renewable energy and anticipates investments of \$20-30 billion per year, depending on the starting year. Moreover, a high cost of capital remains a significant barrier to the financial viability for RE projects.

In 2023, India's government debt reached 81.59% of its GDP ([RBI, 2024](#)). Balancing debt repayments with the need to finance this transition will be challenging and will require careful policy design.

C02 Emissions by Fuel Type In India Since 2000



Source: [IEA \(2022\)](#)

Key Stakeholders

Government/ Policymakers	Central & State Government: Responsible for national energy policy, regulations, and funding initiatives. Ministry of Power: Oversees electricity generation and distribution. Ministry of Coal: Manages the coal sector and its transition to renewable energy
Financial Institutions	Public Sector Banks: Provide funding for energy projects and are involved in financing energy initiatives. International Financial Institutions: Such as the World Bank and Asian Development Bank, which support financing and technical assistance for clean energy projects.
Power Sector Companies	State-owned Enterprises: Such as Coal India Ltd. and NTPC Ltd. (National Thermal Power Corporation), which dominate the coal and power generation sectors. Private Sector Energy Firms: Including major players in renewable energy like ReNew Power and Adani Green Energy, which are crucial for transitioning to clean energy sources.
Local Communities and Workers	Coal Miners and Coal-dependent Communities: These groups are directly impacted by the transition and require support for reskilling and economic opportunities in the renewable sector.
Consumers	Residential and Commercial Consumers: Their demand for energy influences energy policy and market dynamics.

A Rapid Transition to Nearly 100% Clean Energy Before 2040 is Feasible in India– And Cheaper Than a Slower Transition

A Carbon Feebate System

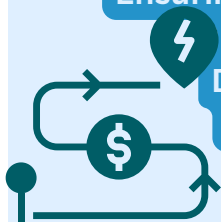


A 'feebate' mechanism can incentivize power producers to decarbonize by setting a high carbon price on coal-fired power generation:

- Rather than passing the cost onto consumers, the collected fees would be rebated to power producers based on their total electricity generation.
- Companies that decarbonize faster would receive more in rebates than they paid in carbon fees, creating a powerful financial incentive to shift from coal to renewable energy.

This system could drive a rapid coal exit while maintaining stable power prices, especially with supportive financing and regulatory measures for renewable projects.

Ensuring Financial Viability of Distribution Companies



A critical reform would involve adjusting power prices to a level that ensures the financial stability of distribution companies (Discoms).

By doing so, the risk to investors in new clean energy projects would be reduced, encouraging greater private investment in the emerging renewable energy sector.

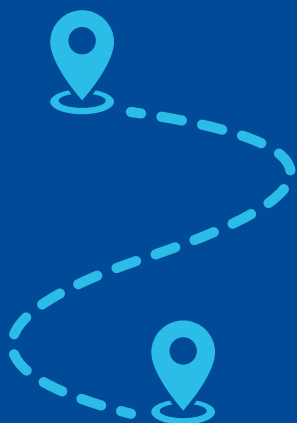
Transforming Power Purchase Agreements (PPAs)

Reforming legacy coal power purchase agreements is crucial to enable a smoother transition to clean energy. Coal PPAs should be transformed

into equivalent financial contracts that can be satisfied by renewable energy sources, such as solar-plus-storage. This will allow energy producers to transition away from coal while meeting their contractual obligations.



Greening the Financial System



Create a **roadmap** for greening the financial system, within the Long-Term Low-Carbon Development Strategy.

Address questions like:

How critical is the overall exposure of the Indian financial sector to climate-related risks?

How to build a regulatory framework that can prevent the banking sector from financial instability due to the spread of climate-related risks within the sector?

How to structure incentives to accelerate the redirection of financial flows towards the low-carbon transition?

Develop a **climate-related regulatory framework** for the banking sector:

1. Generate appropriate and comparable data on financial institutions' exposure to climate-related risks. Through disclosure requirements, the supervisor must be able to collect relevant data at the most granular level possible.
2. Implement global risk assessments and establish stress-test scenarios. This risk assessment analysis should be conducted using appropriate scenarios based on vulnerabilities identified within the national financial system.
3. Develop a tailor-made regulatory framework based on the key risks and vulnerabilities identified in the sector.



Establish an attractive **legal and financial framework** to help stimulate the development of green capital markets, including setting up a comprehensive taxonomy.

Mobilize public financial institutions as **pilot actors** for the implementation of a strategy for greening the financial system.

This could involve:

1. Anchoring climate action in the mandate and core objectives of these institutions.
2. The setting of ambitious and consensual climate objectives for each institution according to their sector of intervention, their means and the importance of the sector in which they operate for the transition.
3. Adopting a dedicated climate-oriented regulatory framework for these institutions (disclosure requirements, quantitative reporting on climate risks and impacts, mainstreaming of climate considerations into all key internal processes, etc).



Broaden the range of financial instruments available to sustainably finance the renewable energy sector by **mitigating risks** that could hinder project performance. Many of these risks can be managed through **government intervention**. For instance, state or regional governments could pre-assemble land and make it available for hybrid solar PV and wind power development projects. Additionally, de-risking operating-phase financing could involve a third-party financing agency guaranteeing PPAs.

Additional Resources

Brief (This Document)

- Succinct overview of proposal.

[Short Summary](#)

- Describes the basis for the proposal and current policies

[Long-Form Technical Paper](#)

- Provides a detailed account of the proposal and the background research supporting it.

Links to Supplementary Material

[IEA India Profile \(2022\)](#)

[Global Energy Monitor \(2022\).](#)
(India Briefing)

[SHAKTI Sustainable Energy
Foundation](#)

Feedback/ Questions

For further information or questions about this proposal or Geoprosperty's work, please feel free to reach out.

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